successful, without any negative impact on the population or the economy.

My Perspective

In principle, demonetization is not a bad thing. It is merely a tool, well-suited in certain specific circumstances, and most effective if planned meticulously and executed efficiently.

It is the best way for a government to tackle economic problems such as hyperinflation, and to signal that it is serious about pursuing more responsible macroeconomic policies in the future. It is also the only way to replace currencies following a geo-political event, such as India's 1947 Partition or the formation of the European Union in 1992.

It is not suitable as a means to tackle problems such as endemic corruption or black money, as India has tried to do. Not once, but thrice! It does not address the root causes of the problem. It is also a disastrous measure, if poorly planned and hastily executed.

The social turmoil and violation of human rights when money is forcibly expropriated, especially from the very poor, can have very long-term economic and political consequences, as is evident from the experience of several countries shared in this chapter.

Policies such as demonetization can only be effective where systems are democratic and institutions are accountable, for then, there is a chance of a reasoned debate where all factors are assessed and the consequences on all sections of society are thoughtfully considered.

Sadly, for India, the planners of demonetization overlooked the overwhelming evidence that would prove it would not succeed, ignoring in their wisdom the lessons both of economics and of history.